

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT.

**COMPLAINANT PELOTON INTERACTIVE, INC.’S
RESPONSE TO FLEXPORT INTERNATIONAL LLC’S
MOTION FOR PROTECTIVE ORDER**

Pursuant to Your Honor’s March 21, 2025 Order,¹ Complainant Peloton Interactive, Inc. (“Peloton”) submits the following responses on the topics requested by the Presiding Officer.

1. The relevance to this proceeding of testimony regarding events or issues, or of documentation dated prior to 2020.

Peloton seeks both reparations and a non-reparation order for Flexport International LLC’s (“Flexport’s”) unlawful conduct. Flexport shipped Peloton’s goods since at least 2015 and moved Peloton’s shipments under store-door terms. Flexport’s affirmative defenses has put the pre-2020 period at issue by purporting to rely on contracts and understandings that predate 2020. Although

¹ Peloton limits its response to the five topics requested by the Presiding Officer. However, Peloton must underscore that Flexport’s objections to Peloton’s 143(b)(6) Notice of Deposition do not commit to providing a witness for any of the topics. Flexport’s objections are scarcely objections at all, unlike Peloton’s objections to Flexport’s 143(b)(6) Notice of Deposition, where Peloton commits to provide witnesses on topics 1-7, 9-11, 14-16, 20-21 and requests further clarification on topics 8, 12-13, 17-19 in order to prepare its corporate witness. See Exhibit A.

Peloton's claims are based on the Shipping Act, not the parties' contracts, Flexport's purported reliance on them and the fact that the parties' dealings began well before 2020 justifies Peloton's entitlement to comprehensive discovery of the entire relationship. Additionally, several Peloton shipments listed in Exhibit A to Peloton's Verified Amended Complaint were transported before 2020 but invoiced in 2020. Therefore, certain events, issues and documentation relevant to the claims and defenses in this proceeding predate 2020 and should be discoverable.

2. The relevance of contracts, negotiations with, and amounts paid to, Flexport's service providers, including motor carriers and ocean carriers.

Flexport was responsible for both ocean and inland transportation of Peloton containers and failed to fulfill its obligations. Flexport now denies that it acted as a non-vessel operating common carrier ("NVOCC") for the entire movement of the cargo. But discovery to date indicates that Flexport retained control of Peloton's cargo throughout its entire movement and assessed demurrage and detention ("D&D") charges to Peloton under its tariff. Records related to Flexport's status as an NVOCC, its responsibility for both inland and ocean transportation, and its dealings with its service providers—including contracts, agreements, invoices from ocean and motor carriers, bills of lading, and other relevant documents—are crucial to the claims and defenses in this proceeding. Additionally, Flexport's contracts with and amounts paid to its service providers are directly relevant to Flexport's D&D charging practices, discussed in more detail below.

3. The relevance of Flexport's revenue received from detention and demurrage charges assessed on imported containers.

Prior to filing its Complaint, Peloton took a sampling of Flexport's invoices, and the audit identified "very clear patterns that demurrage was being incurred not at the fault of Peloton but at the benefit of Flexport." Peloton Former Senior Director of Transportation, Baitman Rough Dep. Tr. 134:14-23 (March 21, 2025 Deposition). Flexport's revenue from D&D charges on Peloton shipments is a key issue in this lawsuit. Discovery to date has revealed that Flexport didn't assess

these charges reasonably; instead, it exploited them as a “profit center.” *Id.* at 177:17-24. Flexport’s invoices, however, lack specific details on D&D charges, which were frequently passed on to Peloton through *consolidated invoices* for multiple shipments which prevented individual scrutiny in real time. Flexport has not produced information related to the steps (if any) it took to mitigate or dispute D&D charges, nor has it provided information on whether the charges were assessed by Flexport or its ocean carriers. Information on Flexport’s D&D practices and resulting revenue goes to whether Flexport was profiting from D&D and engaging in unjust and unreasonable practices in violation of the Shipping Act.

4. The relevance of Flexport’s costs for providing inland transportation on imported containers.

Flexport transported Peloton's goods under store door terms, making it responsible for both ocean and inland transportation. Flexport now asserts that it was acting as a motor property broker for the inland movement. Discovery of Flexport’s NVOCC status, inland transportation responsibility, control over the cargo, and actions on empty container returns and detention go to the heart of evidence for Peloton to meet its claims burden. This requires reviewing Flexport’s underlying agreements, charges, routine practices, and methods used to assess those charges to Peloton. Flexport cannot deny responsibility for transporting Peloton’s goods while claiming that related relevant evidence is not pertinent to Peloton’s claims.

5. The relevance of Topic 21 attached to the notice of deposition (regarding Flexport’s ESI systems).

Testimony on Flexport’s electronically stored information (“ESI”) is essential to understand Flexport’s document retention practices and policy (if any) and what documents it has produced (or failed to produce) in this litigation, including its basis for failing to produce documents that should be within its possession, custody, and control related to the invoices at issue. Although Flexport has unilaterally only produced documents from April 1, 2021 to present,

Peloton has identified 3,249 challenged invoices, 1,241 of which were issued before April 2021, and to date, Flexport has only produced 355 individual invoices. (See Exhibit A to Peloton Verified Complaint, Dkt. 14). Further, Flexport produced an excel document titled “Peloton Events Download,” which it contends contains data and information for Peloton shipments. But the data in the document begins in October 2021 and only includes information on 943 Peloton shipments. Flexport should be required to provide information for all challenged invoices, unlimited by Flexport’s unilateral April and October 2021 cutoffs.

Dated: March 24, 2025

Respectfully Submitted,

HOLLAND AND KNIGHT LLP

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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Executed: March 24, 2025

/s/ Kristine O. Little